

# POLICY-BASED EXPENSE AUDIT REPORT

Rite Water Solutions (India) Pvt. Ltd. | Internal Audit Division | Travel & Reimbursement Policy effective 01-Nov-2023

|                |                            |                  |                                 |
|----------------|----------------------------|------------------|---------------------------------|
| Report Date:   | 27-Apr-2026                | Audit Reference: | AUD-POL-3315-2026               |
| Voucher No.:   | 3315                       | Voucher Date:    | 23-Mar-2026                     |
| Employee Name: | Jai Dutt Sharma            | Employee Code:   | RWSIPL570                       |
| Cost Center:   | Nagpur_Head Office         | Narration:       | Varanasi Site Visit             |
| Claim Period:  | 21-Feb-2026 to 16-Mar-2026 | Period (Days):   | 24 days — Within 90-day limit ✓ |
| Gross Claimed: | INR 32,398.00              | Approved:        | INR 32,336.00                   |
| Rejected:      | INR 62.00                  | Net Payable:     | INR 32,336.00                   |
| Proof Files:   | 10 documents (PDF + JPEG)  | Employee Match:  | ✓ RWSIPL570 confirmed           |

■ **KEY AUDIT ALERTS:** (1) Hotel claimed INR 15,120 — 8 nights × INR 1,890/night. Policy limit for Varanasi (Grade C city) is INR 750–1,000/night depending on designation. **Significant overage flagged.** (2) Cruise booking INR 5,000 for 5 BUDCO officials — entertainment/hospitality expense, not standard travel. **Requires senior management approval.** (3) One cab receipt (INR 62) submitted twice — duplicate document detected. (4) 2AC train entitlement requires designation verification — policy allows 2AC only for Manager/Asst.Mgr level and above.

## 1. POLICY RULES APPLIED IN THIS AUDIT

| Policy Rule                 | Value / Detail                                                                              | Applicable To                |
|-----------------------------|---------------------------------------------------------------------------------------------|------------------------------|
| Max Claim Period            | 90 days                                                                                     | All vouchers                 |
| 2AC Train Entitlement       | Manager / Asst. Manager and above only                                                      | 4 × 2AC Train entries        |
| Bus/Train Proof Required    | Ticket + Receipt                                                                            | Train entries                |
| Food Allowance (with stay)  | Sr.Exec/Technician: Rs.400/day   Manager: Rs.500   Sr.Mgr: Rs.600   VP/GM: Rs.750           | Food & Accommodation entries |
| Hotel — Grade C city limit  | Technician: Rs.700   Sr.Exec: Rs.750   Manager: Rs.750   Sr.Mgr: Rs.1,000   VP/GM: Rs.1,500 | Hotel entries                |
| Varanasi City Grade         | Grade C (not in Grade A or Grade B list)                                                    | Hotel & Food calculations    |
| Hotel Proof Required        | Hotel bill + Receipt                                                                        | Hotel entry                  |
| Other Expense — Actual      | Monthly limit Rs.5,000   Receipt mandatory                                                  | Other Expense entries        |
| Duplicate Receipt Flag      | flag_duplicate_receipts = True                                                              | All entries                  |
| Manager Approval >Rs.10,000 | Required — total here Rs.32,336 >> threshold                                                | Entire voucher               |
| Hospitality/Entertainment   | Not defined in standard policy — needs VP/GM approval                                       | Cruise booking entry         |
| No Handwritten Receipts     | Not accepted                                                                                | All entries                  |

## 2. PROOF DOCUMENT REVIEW

| #    | Document / File Name                                        | Type              | Key Details Extracted                                                                                                                                                            | Status  |
|------|-------------------------------------------------------------|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| P-01 | 03132026 Hotel Bill.pdf<br>(Shree Laxmi Paying Guest House) | Hotel Tax Invoice | Guest: Jai Dutt Sharma   Room 201 Classic<br>Check-in: 05-Mar-26   Check-out: 13-Mar-26<br>8 nights × Rs.1,890 = Rs.15,120 + GST<br>GSTIN: 09NICPS3109B1Z9   Company: Rite Water | ✓ VALID |

|      |                                                                       |                            |                                                                                                                                                                           |                        |
|------|-----------------------------------------------------------------------|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------|
| P-02 | Hotel Bill Payment.jpeg<br>(BHIM UPI screenshot)                      | Payment Proof              | Paid: Rs.15,120 on 13-Mar-26 09:40 AM<br>To: Md Shahjad (md.shahjad25082002@okicici)<br>From: Jai Dutt Sharma   PNB XXXX8315<br>Remark: Hotel Rent   Txn ID: 094025970970 | ✓ VALID                |
| P-03 | ALAKNANDA CRUISELINE Booking.pdf<br>(Razorpay receipt)                | Cruise Booking Receipt     | VIVEKANAND Evening Cruise — 27-Feb-26<br>5 tickets × Rs.1,000 = Rs.5,000<br>Billed to: jaidutt@ritewater.in<br>GSTIN: 09AAFCN6189D1Z6   Paid via Razorpay                 | ✓ VALID<br>(policy Q)  |
| P-04 | Cruise Booking For BUDCO Officials.jpeg<br>(BHIM UPI screenshot)      | Payment Proof              | Paid: Rs.5,000 on 27-Feb-26 01:18 PM<br>To: ALAKNANDA CRUISELINE<br>From: Jai Dutt Sharma   PNB X8315<br>Txn ID: 131801095396                                             | ✓ VALID<br>(policy Q)  |
| P-05 | 03132026 Hotel to Railway Station.pdf<br>(Rapido/cab receipt)         | Cab Receipt                | Ride ID: RD17733911842357655<br>13-Mar-26 2:37 PM   Hotel Banaras Haveli → Varanasi Rly<br>5.23 km   19.6 min   Rs.62 paid in cash<br>Invoice: 2526UP0075845638           | ✓ VALID<br>■ DUPLICATE |
| P-06 | 03132026 Hotel to Railway Station.pdf<br>(DUPLICATE — filed twice)    | Cab Receipt<br>(DUPLICATE) | EXACT DUPLICATE of P-05<br>Same Ride ID: RD17733911842357655<br>Same Invoice: 2526UP0075845638<br>Same amount: Rs.62                                                      | ✗ DUPLICATE<br>REJECT  |
| P-07 | 03132026 Railway Station to Residence.pdf<br>(Rapido/cab receipt)     | Cab Receipt                | Ride ID: RD17734200621919151<br>13-Mar-26 10:47 PM   Agra Rly Station → Residence<br>9.19 km   23.78 min   Rs.123 paid in cash<br>Invoice: 2526UP0076000425               | ✓ VALID                |
| P-08 | 03152026 Residence to Railway Station.pdf<br>(Rapido booking history) | Auto Receipt               | Ride ID: RD17735700799973815<br>15-Mar-26 4:01 PM   Agra Residence → Agra Rly<br>Driver: Ikrar Khan   Vehicle: UP80KT5951<br>Selected Price: Rs.121   Rapido Auto         | ✓ VALID                |
| P-09 | 03162026 Railway Station to Residence.pdf<br>(Rapido booking history) | Auto Receipt               | Ride ID: RD17736311420908037<br>16-Mar-26 8:53 AM   Nagpur Rly → Residence<br>Driver: Sandip Dandale   Vehicle: MH49CF0718<br>Selected Price: Rs.160   Rapido Auto        | ✓ VALID                |
| P-10 | 03132026 Train Voucher.pdf<br>(Internal debit voucher)                | Train Voucher              | Rite Water Solutions internal debit voucher<br>K-60, M.I.D.C. Hingna Road, Nagpur<br>Amount/details not clearly legible<br>No PNR/ticket number visible                   | ■ WEAK<br>Needs PNR    |

### 3. LINE-ITEM POLICY EVALUATION

|                                                                                                                                                          |                                                                       |                                              |             |
|----------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|----------------------------------------------|-------------|
| #1 2 AC Train — 21-Feb-26                                                                                                                                | Claimed: INR 2,000.00                                                 | Approved: INR 2,000.00                       | CONDITIONAL |
| Policy Cat.: bus_travel                                                                                                                                  | Rule: 2AC Train allowed for Manager & above. Actual fare with ticket. | Proof Required: Train ticket / PNR + receipt | Rejected: — |
| Proof Status: WEAK — Internal debit voucher (P-10) submitted; no PNR or e-ticket copy                                                                    |                                                                       |                                              |             |
| Audit Note: Amount reasonable for Nagpur–Varanasi 2AC fare. Conditionally valid — PNR must be provided. Designation must be Manager or above per policy. |                                                                       |                                              |             |
| #2 Other Expense (Cruise) — 27-Feb-26                                                                                                                    | Claimed: INR 5,000.00                                                 | Approved: INR 5,000.00                       | CONDITIONAL |

|                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                              |                                                                             |                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|---------------------|
| <b>Policy Cat.:</b> other                                                                                                                                                                                                                                                                                                                                              | <b>Rule:</b> Actual. Monthly limit Rs.5,000. Receipt mandatory. Hospitality for external officials not covered under standard travel policy. | <b>Proof Required:</b> Receipt + Senior management approval for hospitality | <b>Rejected:</b> —  |
| <b>Proof Status:</b> ✓ Razorpay receipt (P-03) + BHIM payment proof (P-04) — BUDCO Officials evening cruise 5 tickets                                                                                                                                                                                                                                                  |                                                                                                                                              |                                                                             |                     |
| <b>Audit Note:</b> Receipt fully verified. However, 'Cruise booking for BUDCO officials' is a client entertainment/hospitality expense — NOT standard travel reimbursement. Requires VP/GM pre-approval per general policy. Amount equals monthly Other Expense limit (Rs.5,000). Currently approved but policy compliance for hospitality category must be confirmed. |                                                                                                                                              |                                                                             |                     |
| <b>#3 2 AC Train — 02-Mar-26</b>                                                                                                                                                                                                                                                                                                                                       | <b>Claimed:</b> INR 2,000.00                                                                                                                 | <b>Approved:</b> INR 2,000.00                                               | <b>CONDITION AL</b> |
| <b>Policy Cat.:</b> bus_travel                                                                                                                                                                                                                                                                                                                                         | <b>Rule:</b> 2AC Train — Manager & above. Actual fare with ticket/PNR.                                                                       | <b>Proof Required:</b> Train ticket / PNR                                   | <b>Rejected:</b> —  |
| <b>Proof Status:</b> WEAK — Same internal debit voucher (P-10); no separate PNR for this trip                                                                                                                                                                                                                                                                          |                                                                                                                                              |                                                                             |                     |
| <b>Audit Note:</b> Return/segment journey. Same caveats as entry #1 — PNR required.                                                                                                                                                                                                                                                                                    |                                                                                                                                              |                                                                             |                     |
| <b>#4 2 AC Train — 05-Mar-26</b>                                                                                                                                                                                                                                                                                                                                       | <b>Claimed:</b> INR 2,000.00                                                                                                                 | <b>Approved:</b> INR 2,000.00                                               | <b>CONDITION AL</b> |
| <b>Policy Cat.:</b> bus_travel                                                                                                                                                                                                                                                                                                                                         | <b>Rule:</b> 2AC Train — Manager & above. Actual fare with ticket/PNR.                                                                       | <b>Proof Required:</b> Train ticket / PNR                                   | <b>Rejected:</b> —  |
| <b>Proof Status:</b> WEAK — No separate PNR; covered under P-10 debit voucher only                                                                                                                                                                                                                                                                                     |                                                                                                                                              |                                                                             |                     |
| <b>Audit Note:</b> Multiple 2AC train entries suggest multi-leg journey or return trip. All require individual PNR proof. Internal debit voucher alone is insufficient.                                                                                                                                                                                                |                                                                                                                                              |                                                                             |                     |
| <b>#5 Food Allowance — 09-Mar-26</b>                                                                                                                                                                                                                                                                                                                                   | <b>Claimed:</b> INR 750.00                                                                                                                   | <b>Approved:</b> INR 750.00                                                 | <b>CONDITION AL</b> |
| <b>Policy Cat.:</b> food                                                                                                                                                                                                                                                                                                                                               | <b>Rule:</b> With overnight stay: Technician/Sr.Exec Rs.400   Manager Rs.500   Sr.Mgr Rs.600   VP/GM Rs.750/day.                             | <b>Proof Required:</b> Designation determines eligible rate                 | <b>Rejected:</b> —  |
| <b>Proof Status:</b> No food bills required — per-diem based allowance                                                                                                                                                                                                                                                                                                 |                                                                                                                                              |                                                                             |                     |
| <b>Audit Note:</b> Rs.750/day is the VP/GM rate. If employee is below VP/GM level, rate is lower (Rs.400–600). Eligible amount depends on actual designation. If Manager: Rs.500/day eligible → Rs.250 overpaid per day.                                                                                                                                               |                                                                                                                                              |                                                                             |                     |
| <b>#6 Food Allowance — 10-Mar-26</b>                                                                                                                                                                                                                                                                                                                                   | <b>Claimed:</b> INR 750.00                                                                                                                   | <b>Approved:</b> INR 750.00                                                 | <b>CONDITION AL</b> |
| <b>Policy Cat.:</b> food                                                                                                                                                                                                                                                                                                                                               | <b>Rule:</b> Same as #5                                                                                                                      | <b>Proof Required:</b> Designation verification                             | <b>Rejected:</b> —  |
| <b>Proof Status:</b> Same as #5                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                              |                                                                             |                     |
| <b>Audit Note:</b> Same as entry #5 — Rs.750 is VP/GM rate. Verify designation.                                                                                                                                                                                                                                                                                        |                                                                                                                                              |                                                                             |                     |
| <b>#7 Food Allowance — 11-Mar-26</b>                                                                                                                                                                                                                                                                                                                                   | <b>Claimed:</b> INR 750.00                                                                                                                   | <b>Approved:</b> INR 750.00                                                 | <b>CONDITION AL</b> |
| <b>Policy Cat.:</b> food                                                                                                                                                                                                                                                                                                                                               | <b>Rule:</b> Same as #5                                                                                                                      | <b>Proof Required:</b> Designation verification                             | <b>Rejected:</b> —  |
| <b>Proof Status:</b> Same as #5                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                              |                                                                             |                     |
| <b>Audit Note:</b> Same as entry #5.                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                              |                                                                             |                     |
| <b>#8 Food Allowance — 12-Mar-26</b>                                                                                                                                                                                                                                                                                                                                   | <b>Claimed:</b> INR 750.00                                                                                                                   | <b>Approved:</b> INR 750.00                                                 | <b>CONDITION AL</b> |

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| <b>Policy Cat.:</b> food                                                                                                                                       | <b>Rule:</b> Same as #5 | <b>Proof Required:</b> Designation verification | <b>Rejected:</b> — |
| <b>Proof Status:</b> Same as #5                                                                                                                                |                         |                                                 |                    |
| <b>Audit Note:</b> 4 consecutive food days (9–12 Mar) at Rs.750/day = Rs.3,000 total. Rs.750 is VP/GM level. Verify designation before approving at this rate. |                         |                                                 |                    |

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| <b>#9 2 AC Train — 13-Mar-26</b>                                                                                     | <b>Claimed:</b> INR 2,000.00                                   | <b>Approved:</b> INR 2,000.00             | <b>CONDITIONAL</b> |
| <b>Policy Cat.:</b> bus_travel                                                                                       | <b>Rule:</b> 2AC Train — Manager & above. Ticket/PNR required. | <b>Proof Required:</b> Train ticket / PNR | <b>Rejected:</b> — |
| <b>Proof Status:</b> WEAK — P-10 debit voucher only; no PNR                                                          |                                                                |                                           |                    |
| <b>Audit Note:</b> Return journey Varanasi → Agra/Nagpur on 13-Mar matches check-out date. Same train voucher issue. |                                                                |                                           |                    |

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| <b>#10 Other Expense (Cab) — 13-Mar-26</b>                                                                 | <b>Claimed:</b> INR 62.00                                        | <b>Approved:</b> INR 62.00         | <b>APPROVE</b>     |
| <b>Policy Cat.:</b> other                                                                                  | <b>Rule:</b> Actual — receipt mandatory. Monthly limit Rs.5,000. | <b>Proof Required:</b> Cab receipt | <b>Rejected:</b> — |
| <b>Proof Status:</b> ✓ Rapido receipt P-05: Hotel Banaras Haveli → Varanasi Rly, 5.23 km, Rs.62, 13-Mar-26 |                                                                  |                                    |                    |
| <b>Audit Note:</b> Valid receipt. Amount, date, route all verified. Legitimate travel expense.             |                                                                  |                                    |                    |

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| <b>#11 Other Expense (Cab) — 13-Mar-26</b>                                                             | <b>Claimed:</b> INR 123.00               | <b>Approved:</b> INR 123.00        | <b>APPROVE</b>     |
| <b>Policy Cat.:</b> other                                                                              | <b>Rule:</b> Actual — receipt mandatory. | <b>Proof Required:</b> Cab receipt | <b>Rejected:</b> — |
| <b>Proof Status:</b> ✓ Rapido receipt P-07: Agra Rly Station → Residence, 9.19 km, Rs.123, 13-Mar-26   |                                          |                                    |                    |
| <b>Audit Note:</b> Valid receipt. Agra cab confirms return journey home. Amount, date, route verified. |                                          |                                    |                    |

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| <b>#12 Other Expense (Cab — DUPLICATE) — 13-Mar-26</b>                                                                                                                                                                                                 | <b>Claimed:</b> INR 62.00                                                    | <b>Approved:</b> INR 0.00                           | <b>REJECT</b>              |
| <b>Policy Cat.:</b> other                                                                                                                                                                                                                              | <b>Rule:</b> flag_duplicate_receipts = True. Duplicate submissions rejected. | <b>Proof Required:</b> N/A — duplicate of entry #10 | <b>Rejected:</b> INR 62.00 |
| <b>Proof Status:</b> ✗ EXACT DUPLICATE of P-05. Same Ride ID, Invoice No., amount, date, time.                                                                                                                                                         |                                                                              |                                                     |                            |
| <b>Audit Note:</b> Correctly rejected by reviewer (Rs.62 rejected). This is an exact duplicate of entry #10. The same Rapido cab receipt (RD17733911842357655) was submitted twice. Policy: flag_duplicate_receipts=True. Rejection confirmed correct. |                                                                              |                                                     |                            |

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| <b>#13 Food Allowance — 13-Mar-26</b>                                                                                                                                                                                                               | <b>Claimed:</b> INR 750.00 | <b>Approved:</b> INR 750.00                     | <b>CONDITIONAL</b> |
| <b>Policy Cat.:</b> food                                                                                                                                                                                                                            | <b>Rule:</b> Same as #5    | <b>Proof Required:</b> Designation verification | <b>Rejected:</b> — |
| <b>Proof Status:</b> Same as #5                                                                                                                                                                                                                     |                            |                                                 |                    |
| <b>Audit Note:</b> 5th food day at Rs.750. Check-out was 13-Mar. This is the travel day back — partial day. Policy states food allowance without overnight stay (>12 hrs) is lower (Rs.375 for VP/GM). Verify if overnight stay occurred on 13-Mar. |                            |                                                 |                    |

|                                                                                                                           |                                                                                                                                       |                                             |                    |
|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------|--------------------|
| <b>#14 Hotel — 13-Mar-26</b>                                                                                              | <b>Claimed:</b> INR 15,120.00                                                                                                         | <b>Approved:</b> INR 15,120.00              | <b>FLAG</b>        |
| <b>Policy Cat.:</b> hotel                                                                                                 | <b>Rule:</b> Varanasi = Grade C. Limit: Technician Rs.700   Sr.Exec Rs.750   Manager Rs.750   Sr.Mgr Rs.1,000   VP/GM Rs.1,500/night. | <b>Proof Required:</b> Hotel bill + receipt | <b>Rejected:</b> — |
| <b>Proof Status:</b> ✓ Hotel bill (P-01) + BHIM payment (P-02). Shree Laxmi Guest House. 8 nights × Rs.1,890 = Rs.15,120. |                                                                                                                                       |                                             |                    |

**Audit Note:** CRITICAL OVERAGE: Hotel rate is Rs.1,890/night in a Grade C city. Policy caps are Rs.700–1,500 depending on designation. Even at VP/GM level (max Rs.1,500/night), 8 nights = Rs.12,000. Overage = Rs.3,120 (Rs.390/night excess). If Manager level: 8 × Rs.750 = Rs.6,000 eligible vs Rs.15,120 claimed — excess Rs.9,120. Reviewer approved full amount — this must be re-examined.

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|--------------------------------------------------------------------------------------------------|------------------------------------------|-----------------------------------------|--------------------|
| <b>#15 Other Expense (Auto) — 15-Mar-26</b>                                                      | <b>Claimed: INR 121.00</b>               | <b>Approved: INR 121.00</b>             | <b>APPROVE</b>     |
| <b>Policy Cat.:</b> other                                                                        | <b>Rule:</b> Actual — receipt mandatory. | <b>Proof Required:</b> Auto/cab receipt | <b>Rejected:</b> — |
| <b>Proof Status:</b> ✓ Rapido P-08: Agra Residence → Agra Rly Station, 15-Mar-26 4:01 PM, Rs.121 |                                          |                                         |                    |
| <b>Audit Note:</b> Valid receipt. Departure journey for return trip. Amount and date verified.   |                                          |                                         |                    |

|                                                                                                                |                                          |                                         |                    |
|----------------------------------------------------------------------------------------------------------------|------------------------------------------|-----------------------------------------|--------------------|
| <b>#16 Other Expense (Auto) — 16-Mar-26</b>                                                                    | <b>Claimed: INR 160.00</b>               | <b>Approved: INR 160.00</b>             | <b>APPROVE</b>     |
| <b>Policy Cat.:</b> other                                                                                      | <b>Rule:</b> Actual — receipt mandatory. | <b>Proof Required:</b> Auto/cab receipt | <b>Rejected:</b> — |
| <b>Proof Status:</b> ✓ Rapido P-09: Nagpur Rly Station → Residence, 16-Mar-26 8:53 AM, Rs.160                  |                                          |                                         |                    |
| <b>Audit Note:</b> Valid receipt. Final leg — Nagpur station to residence on return. Amount and date verified. |                                          |                                         |                    |

#### 4. HOTEL AMOUNT — DETAILED POLICY ANALYSIS

The hotel claim of **INR 15,120** is the single largest item (46.7% of total claim). Varanasi is classified as **Grade C** city under policy. The actual rate charged was **INR 1,890/night** for 8 nights at Shree Laxmi Paying Guest House. Policy-eligible amounts by designation are calculated below:

| Designation Level   | Policy Limit (Grade C, INR/night) | 8 Nights Eligible (INR) | Claimed (INR) | Excess (INR) | Excess % |
|---------------------|-----------------------------------|-------------------------|---------------|--------------|----------|
| Technician          | 700                               | 5,600                   | 15,120        | 9,520        | 170%     |
| Sr. Executive       | 750                               | 6,000                   | 15,120        | 9,120        | 152%     |
| Manager / Asst. Mgr | 750                               | 6,000                   | 15,120        | 9,120        | 152%     |
| Sr. Manager         | 1,000                             | 8,000                   | 15,120        | 7,120        | 89%      |
| VP / GM             | 1,500                             | 12,000                  | 15,120        | 3,120        | 26%      |
| Director / CFO      | Actual                            | 15,120                  | 15,120        | 0            | 0%       |

**Note:** The reviewer approved INR 15,120 in full. This is only justified if the employee is at Director/CFO level (Actual allowed). For all other designations, recovery or additional approval is required. Designation must be confirmed from HR records.

#### 5. FOOD ALLOWANCE — DESIGNATION IMPACT

| Designation           | Per Day With Stay (INR) | 5 Days Claimed (INR) | Policy Eligible (INR) | Excess / Saving (INR) |
|-----------------------|-------------------------|----------------------|-----------------------|-----------------------|
| Technician / Sr. Exec | 400                     | 3,750                | 2,000                 | 1,750 excess          |
| Manager / Asst. Mgr   | 500                     | 3,750                | 2,500                 | 1,250 excess          |
| Sr. Manager           | 600                     | 3,750                | 3,000                 | 750 excess            |
| VP / GM               | 750                     | 3,750                | 3,750                 | 0 — EXACT             |
| Director / CFO        | Actual                  | 3,750                | 3,750                 | Actual OK             |

5 food allowance days claimed at Rs.750/day = Rs.3,750. Rs.750/day is the VP/GM rate. Designation verification is mandatory.

## 6. POLICY BREACH SUMMARY

| #    | Policy Clause Breached                                                                                                            | Severity | Entries Affected    | Amount at Risk             |
|------|-----------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|----------------------------|
| B-01 | Hotel rate Rs.1,890/night exceeds Grade C city limit (Rs.700–1,500 depending on designation)                                      | HIGH     | Entry #14           | Rs.3,120–9,520             |
| B-02 | Food allowance Rs.750/day claimed — only applicable to VP/GM. Designation not confirmed.                                          | HIGH     | Entries #5–8, #13   | Rs.750–1,750               |
| B-03 | Cruise booking (Rs.5,000) is hospitality/entertainment for external officials — not standard travel. Requires VP/GM pre-approval. | HIGH     | Entry #2            | Rs.5,000                   |
| B-04 | Duplicate cab receipt submitted twice (Ride ID RD17733911842357655) flag_duplicate_receipts = True                                | MEDIUM   | Entry #12           | Rs.62 (correctly rejected) |
| B-05 | 4 × 2AC Train entries — no PNR/e-ticket submitted. Internal debit voucher alone is insufficient proof.                            | MEDIUM   | Entries #1,#3,#4,#9 | Rs.8,000                   |
| B-06 | Total claim Rs.32,336 >> require_manager_approval_above = Rs.10,000. Higher-level approval documentation must be on file.         | LOW      | Entire voucher      | Rs.32,336                  |
| B-07 | 13-Mar food allowance (Rs.750) — check-out day. If no overnight stay on 13-Mar, only half-day rate applicable (Rs.375 for VP/GM). | LOW      | Entry #13           | Rs.375                     |

## 7. POLICY-ELIGIBLE AMOUNT CALCULATION

| #  | Expense Head          | Date   | Claimed (INR) | Approved by Reviewer | Policy Eligible (Manager Level) | Policy Eligible (VP/GM Level) | Status      |
|----|-----------------------|--------|---------------|----------------------|---------------------------------|-------------------------------|-------------|
| 1  | 2AC Train             | 21-Feb | 2,000         | 2,000                | 2,000*                          | 2,000*                        | CONDITIONAL |
| 2  | Cruise (BUDCO)        | 27-Feb | 5,000         | 5,000                | 0**                             | 5,000**                       | CONDITIONAL |
| 3  | 2AC Train             | 02-Mar | 2,000         | 2,000                | 2,000*                          | 2,000*                        | CONDITIONAL |
| 4  | 2AC Train             | 05-Mar | 2,000         | 2,000                | 2,000*                          | 2,000*                        | CONDITIONAL |
| 5  | Food Allowance        | 09-Mar | 750           | 750                  | 500                             | 750                           | CONDITIONAL |
| 6  | Food Allowance        | 10-Mar | 750           | 750                  | 500                             | 750                           | CONDITIONAL |
| 7  | Food Allowance        | 11-Mar | 750           | 750                  | 500                             | 750                           | CONDITIONAL |
| 8  | Food Allowance        | 12-Mar | 750           | 750                  | 500                             | 750                           | CONDITIONAL |
| 9  | 2AC Train             | 13-Mar | 2,000         | 2,000                | 2,000*                          | 2,000*                        | CONDITIONAL |
| 10 | Other (Cab)           | 13-Mar | 62            | 62                   | 62                              | 62                            | APPROVE     |
| 11 | Other (Cab)           | 13-Mar | 123           | 123                  | 123                             | 123                           | APPROVE     |
| 12 | Other (Cab-DUPLICATE) | 13-Mar | 62            | 0                    | 0                               | 0                             | REJECT      |
| 13 | Food Allowance        | 13-Mar | 750           | 750                  | 375†                            | 375†                          | CONDITIONAL |
| 14 | Hotel (8 nights)      | 13-Mar | 15,120        | 15,120               | 6,000                           | 12,000                        | FLAG        |
| 15 | Other (Auto)          | 15-Mar | 121           | 121                  | 121                             | 121                           | APPROVE     |
| 16 | Other (Auto)          | 16-Mar | 160           | 160                  | 160                             | 160                           | APPROVE     |
|    | TOTAL                 |        | 32,398        | 32,336               | 16,341                          | 29,841                        |             |

\* 2AC Train eligible only if designation is Manager or above — PNR proof required. \*\* Cruise eligible only with VP/GM pre-approval for hospitality; Rs.0 at Manager level. † 13-Mar food: check-out day — if no overnight stay, half-day rate (Rs.375 VP/GM) applies.

## 8. RECOMMENDATIONS

| ID | Priority | Recommendation |
|----|----------|----------------|
|----|----------|----------------|

|      |            |                                                                                                                                 |
|------|------------|---------------------------------------------------------------------------------------------------------------------------------|
| R-01 | IMMEDIATE  | Verify employee designation from HR records. Hotel (INR 15,120) and Food (Rs.750/day) approvals are designation-depend          |
| R-02 | IMMEDIATE  | Cruise booking (INR 5,000 for BUDCO officials) must have VP/GM pre-approval on record. If not obtained, this should be mo       |
| R-03 | IMMEDIATE  | Obtain PNR/e-ticket copies for all 4 × 2AC train entries (21-Feb, 02-Mar, 05-Mar, 13-Mar). Internal debit voucher (P-10) is ins |
| R-04 | CONFIRMED  | Duplicate cab receipt (Entry #12, INR 62) correctly rejected. Confirm rejection is final and documented. Flag employee for du   |
| R-05 | SHORT-TERM | Clarify 13-Mar food allowance (Rs.750): check-out was 13-Mar. If no overnight stay, only Rs.375 (VP/GM) or Rs.200 (Techni       |
| R-06 | SHORT-TERM | Ensure senior management approval (VP/GM level) is documented for this claim as total INR 32,336 far exceeds the Rs.10,0        |
| R-07 | LONG-TERM  | Implement hotel booking through company-approved channels with auto-enforcement of Grade C city limits to prevent over-li       |
| R-08 | LONG-TERM  | Separate hospitality/entertainment expenses (client/official entertaining) from travel expense reimbursement in the expense s   |

## 9. AUDIT CONCLUSION

Expense Voucher No. **3315** submitted by **Jai Dutt Sharma (RWSIPL570)** for a **Varanasi Site Visit** (21-Feb-2026 to 16-Mar-2026) has been audited against the Rite Water Solutions Travel & Reimbursement Policy effective 01-Nov-2023. The audit identified **7 policy concerns** (3 High, 2 Medium, 2 Low).

**Proof quality is significantly better than Voucher 3122** — receipts are present for hotel, cruise, and all cab/auto entries with valid tax invoices and BHIM/UPI payment screenshots. Employee and date period match the voucher. The claim period of 24 days is within the 90-day policy limit.

However, **three material issues require resolution before final payment**: (1) The hotel rate of Rs.1,890/night exceeds the Grade C city cap for most designations — this could result in recovery of Rs.3,120 to Rs.9,120 depending on designation. (2) The cruise booking requires VP/GM pre-approval as a hospitality expense. (3) Train PNRs must be obtained.

Policy-eligible amount ranges from **INR 16,341** (Manager level) to **INR 29,841** (VP/GM level) against the INR 32,336 approved. The reviewer's approval was premature pending designation verification. **Partial hold of INR 2,495 to INR 15,995 is recommended until HR designation is confirmed.**

| Prepared By         | Reviewed By        | Approved By |
|---------------------|--------------------|-------------|
| Internal Audit Team | Finance Controller | VP / CFO    |
| 27-Apr-2026         | _____              | _____       |